Public Policy 2026-2027

Lecture 4: State-Society Relations (Continued) & Multi-Level Governance

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Stockholm School of Economics in Riga

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Interest Groups

Interest groups are private organisations that make **policy suggestions** to **public actors** (governments, parliaments, and bureaucracies) in order to bring public policies more in line with the **beliefs** and **interests** of their members.

Main functions:

1. **Overcoming collective action problems** where similar policy preferences exist. But: the larger the size of the group the harder this task becomes (free-riding risks in presence of diffuse benefits).
2. **Influencing policy-making** through their specialist knowledge, financial contributions, or political campaign resources.
3. **Inside lobbying** (e.g. through involvement in 'iron triangles').
4. **Outside lobbying** (activities outside of the 'engine room' of policymaking).

Conditions for the Influence of Interest Groups

1. Internal organisation (financial resource, organisational characteristics).
2. High vs. low complexity of policy issue.
3. Degree of competition with other interest groups, which in turn is determined by institution-level access opportunities offered to interest groups:
    - IG Pluralism (‘marketplace’ with competition for influence) .
    - IG Corporatism (low competition for influence).
        - Fewer, but more institutionalised (‘incorporated’) ties between IGs and policymakers.
        - Frequent tripartite intermediation of interests.
        - Centralised bargaining of wages, high unionisation.

Interest Groups vs. Social Movements

Social movements:

- Conflictual orientation towards opposing groups.
- Collective identity.
- (Unconventional) repertory of collective actions.
- Not (officially) interested in institutionalised forms of cooperation within policy-making arenas.



Experts

Individuals or networks of individuals with **specialised policy-relevant knowledge** in a particular issue area, usually with **scientific** (academic or industry-based) credentials.

Often referred to as members of 'epistemic communities': e.g. the IPCC, expert panels during Covid-19…

Main functions:

1. Providing **causal connections** and therefore **ideas for policy action.**
2. Providing **impartial evidence** to policy-makers (but note that no scientist operates in a social vacuum).
3. **Brokering** between coalitions with competing **belief systems.**

Evidence-Based Policymaking

Experts have become stakeholders in virtually all policy processes

- The gold standard of modern public policy (not least since Covid-19).
- High-profile efforts to facilitate the proliferation of evidence in policy: OECD, Worldbank, EU Commission…
- But there are limitations:
  - Evidence is information *selected* — and potentially cherry-picked — by human beings.
  - Governments might try to capture and control knowledge-production ('policy-based evidence-making').
  - Risks of politicising the research community.

Evidence is "information **selected** from the available stock and introduced at a specific point in the argument in order to **persuade** a particular audience of the truth or falsity of a statement."

—Giandomenico Majone. 1989. *Evidence, Argument, and Persuasion in the Policy Process*. Yale UP p. 10)



Christian Drosten (D)



Anders Tegnell (SE)

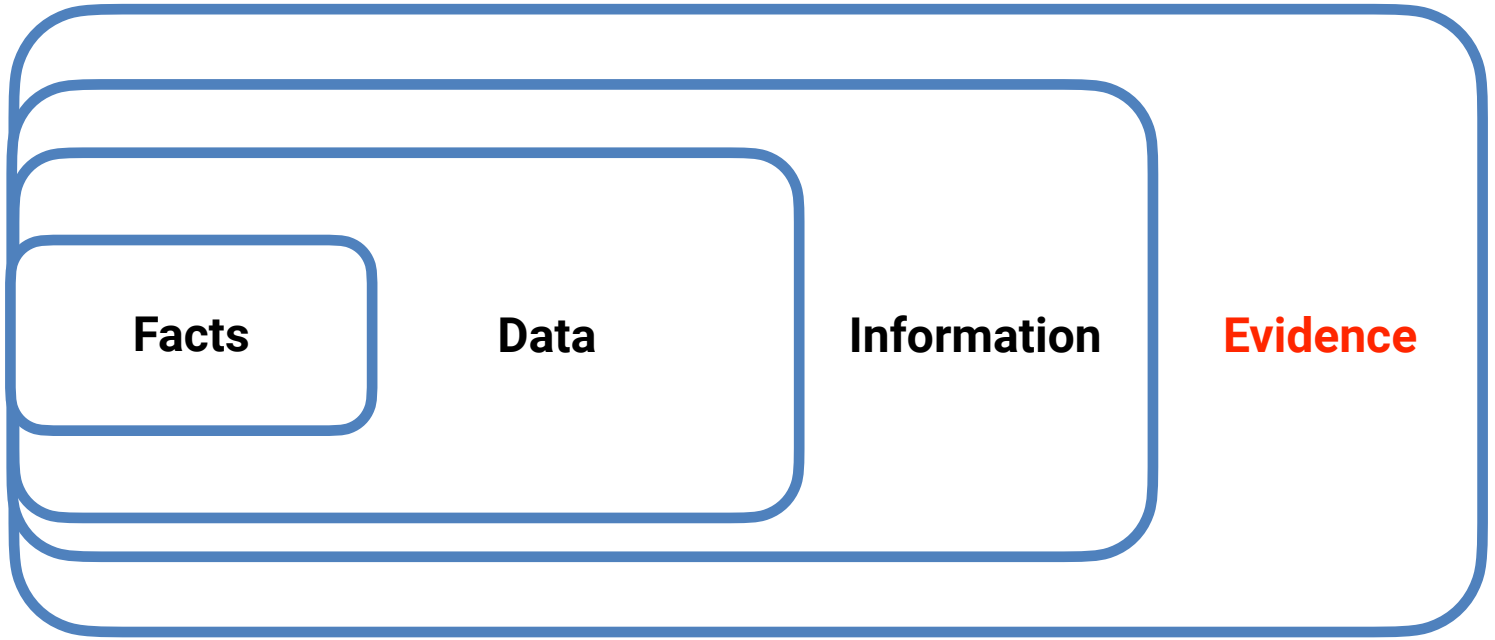


Anthony Fauci (U.S)

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Salience, Credibility, and Legitimacy Triad

David W. Cash et al. 2003. “Knowledge systems for sustainable development.” PNAS 100(14), 8086-8091

Core question: under what conditions will scientific information influence policy?

- Scientific information is influential if it is perceived to be:
    1. Credible
    2. Salient
    3. Legitimate
- 1-3 trade off against each other!
    - Increasing salience vs. credibility (see politicisation risks during Covid).
    - Protecting credibility may lower salience and legitimacy.
    - Broadening stakeholder inclusion for higher legitimacy may raise doubts about credibility.
- An effective science-policy interface presupposes careful management of these trade-offs
- A function often performed by “boundary organisations” (like e.g. the IPCC)

Think Tanks / Research Organisations

Organisations that generate policy-oriented research, analysis, and advice on domestic and international issues that enable policymakers and the public to make informed decisions about public policy issues.

—James G. McGann. 2016. *The Fifth Estate: Think Tanks, Public Policy, and Governance*. Brookings.

- Besides universities, key nodes of epistemic community:
  - Academic think tanks ("universities without students").
  - Contract research organisations.
  - Advocacy think tanks.
  - Party-affiliated think tanks.
- Key part of the "marketplace" of policy ideas.
- Offer not just policy positions, but a way for ideas to become 'sticky' and inform the very foundations of policy debates.
- Often dual role: independent research AND policy advocacy.
- When using think tanks, bear in mind their (often) programmatic purpose! Check origins, ideology, funding, and methodology.

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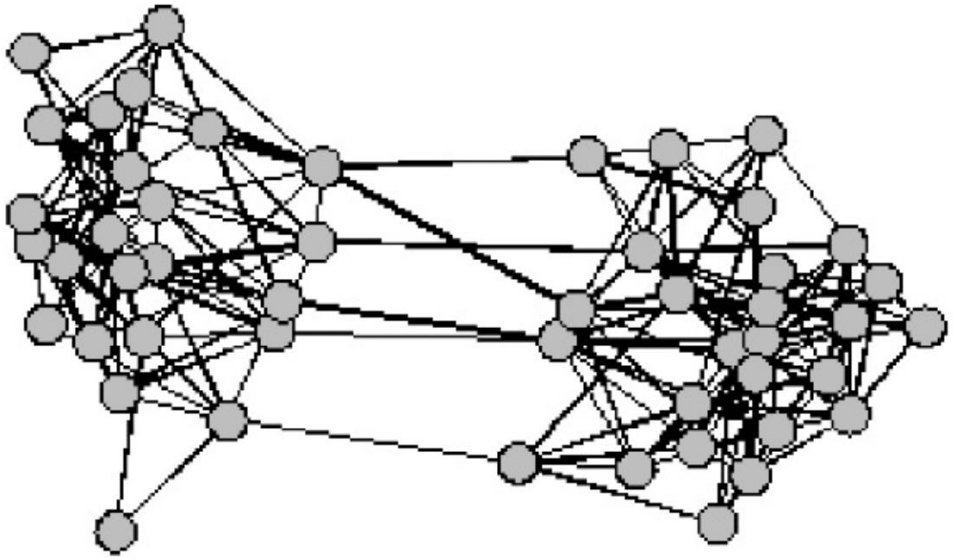
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Modelling State-Society Relations: The Advocacy Coalition Framework (ACF)

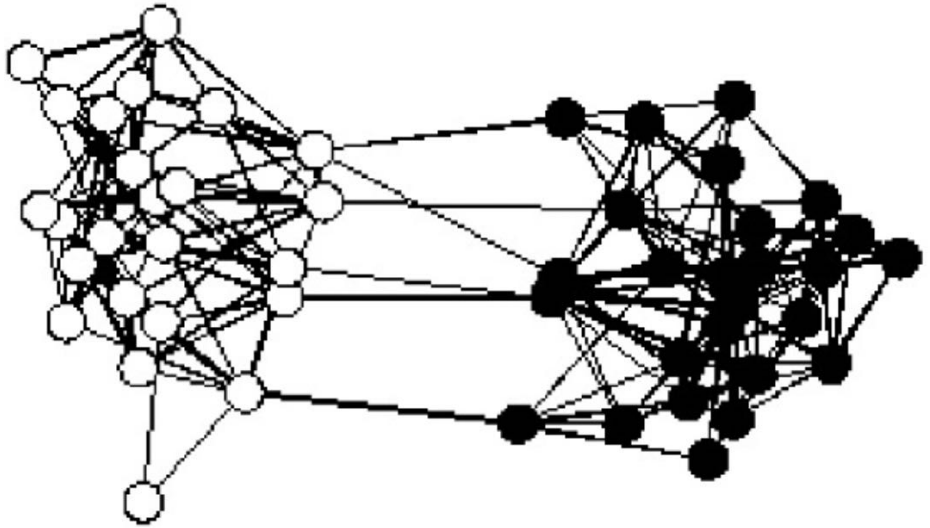
Actor Coalitions

Core questions: When do clusters of actors with some level of coordinated advocacy become coalitions? Under what conditions will coalition network dynamics lead to policy change?

a. Modular network



b. Modular and segregated network



Pfeiffer, G., Henry, A.D., Dietz, T. (2025). “Where Advocacy Coalitions and Policy Networks Intersect in U.S. Environmental Risk Policy.” In: Jenkins-Smith, H.C., Weible, C.M. (eds.) The Advocacy Coalition Framework. Palgrave Macmillan.

Coalition Structure Within the US Climate Policy Subsystem

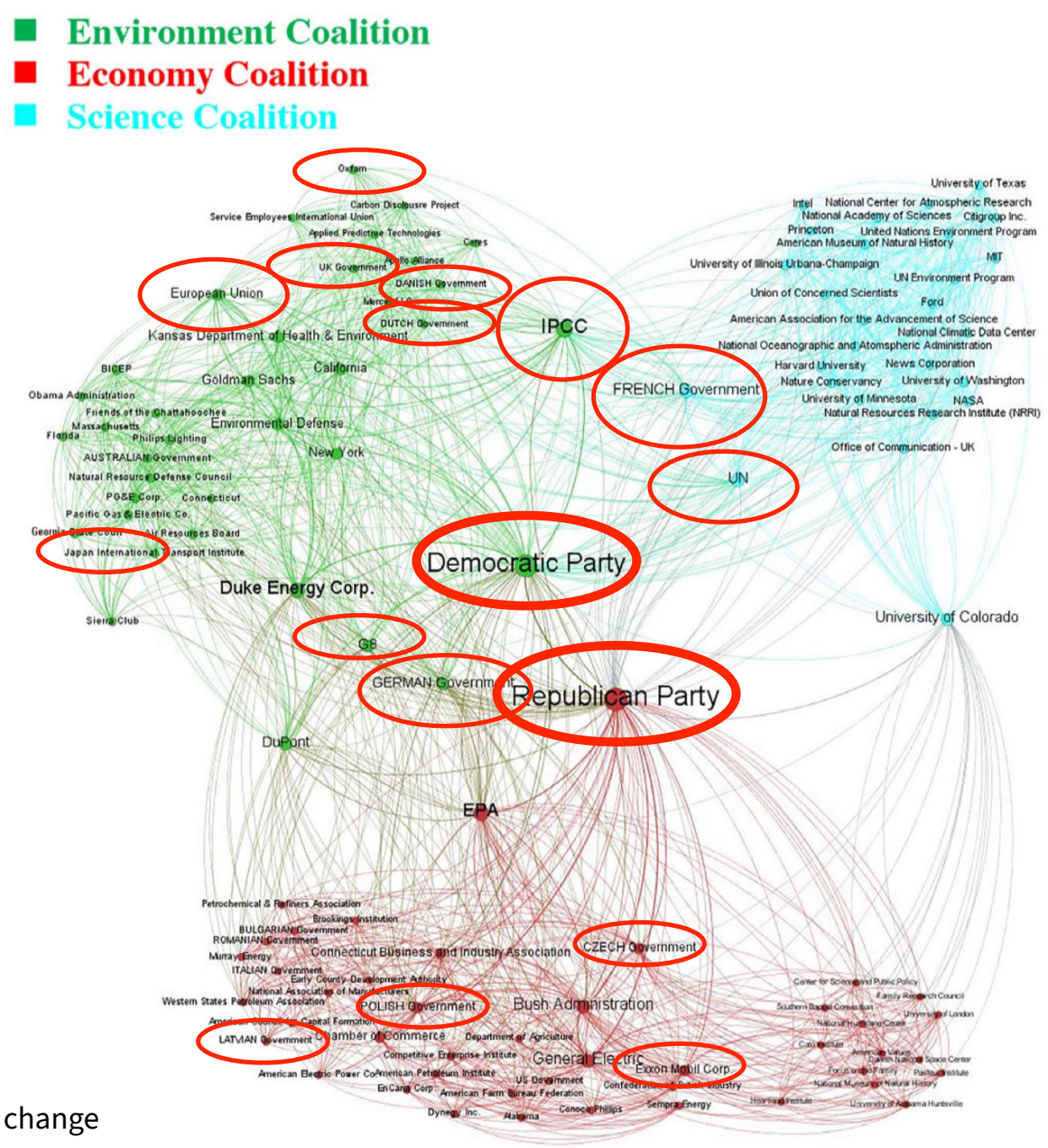


FIGURE 1 Actor congruence network based on general policy core beliefs.

Anna Kukkonen et al. 2017. “Advocacy coalitions, beliefs and climate change policy in the United States.” *Public Administration* 95(3): 713-729

The Policy Subsystem

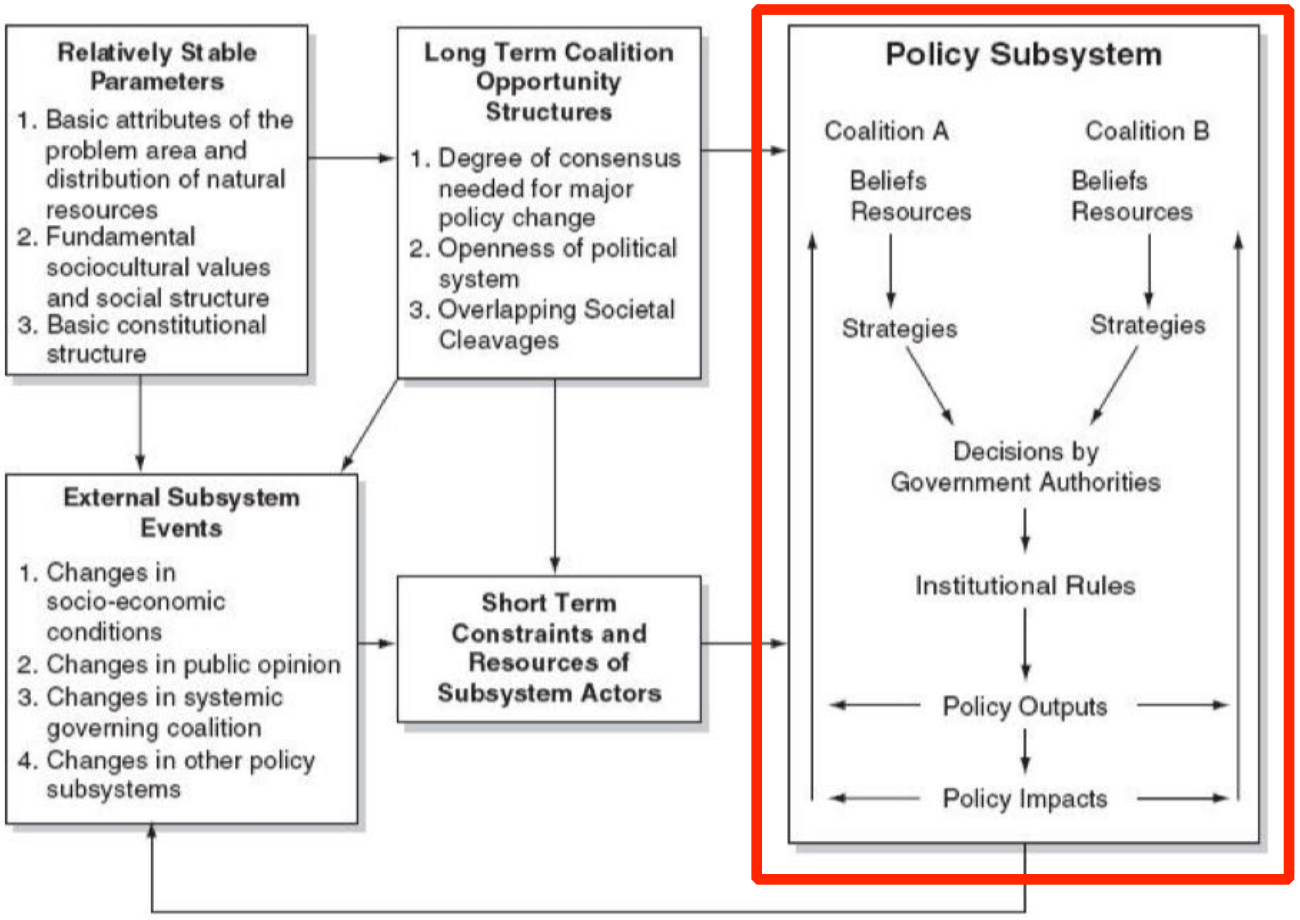


Figure 10.1 The advocacy coalition framework flow diagram
Source: Weible et al. (2016: 6).

Key characteristics:

1. Issue-centric aggregation of competing actors sharing similar beliefs.
2. Often comes with a geographic component.
3. Embedded in an institutional framework ("opportunity structures").
4. Responsive to external shocks (e.g. electoral landslides).
5. Cooperation often "brokered" by insiders.

The Policy Subsystem

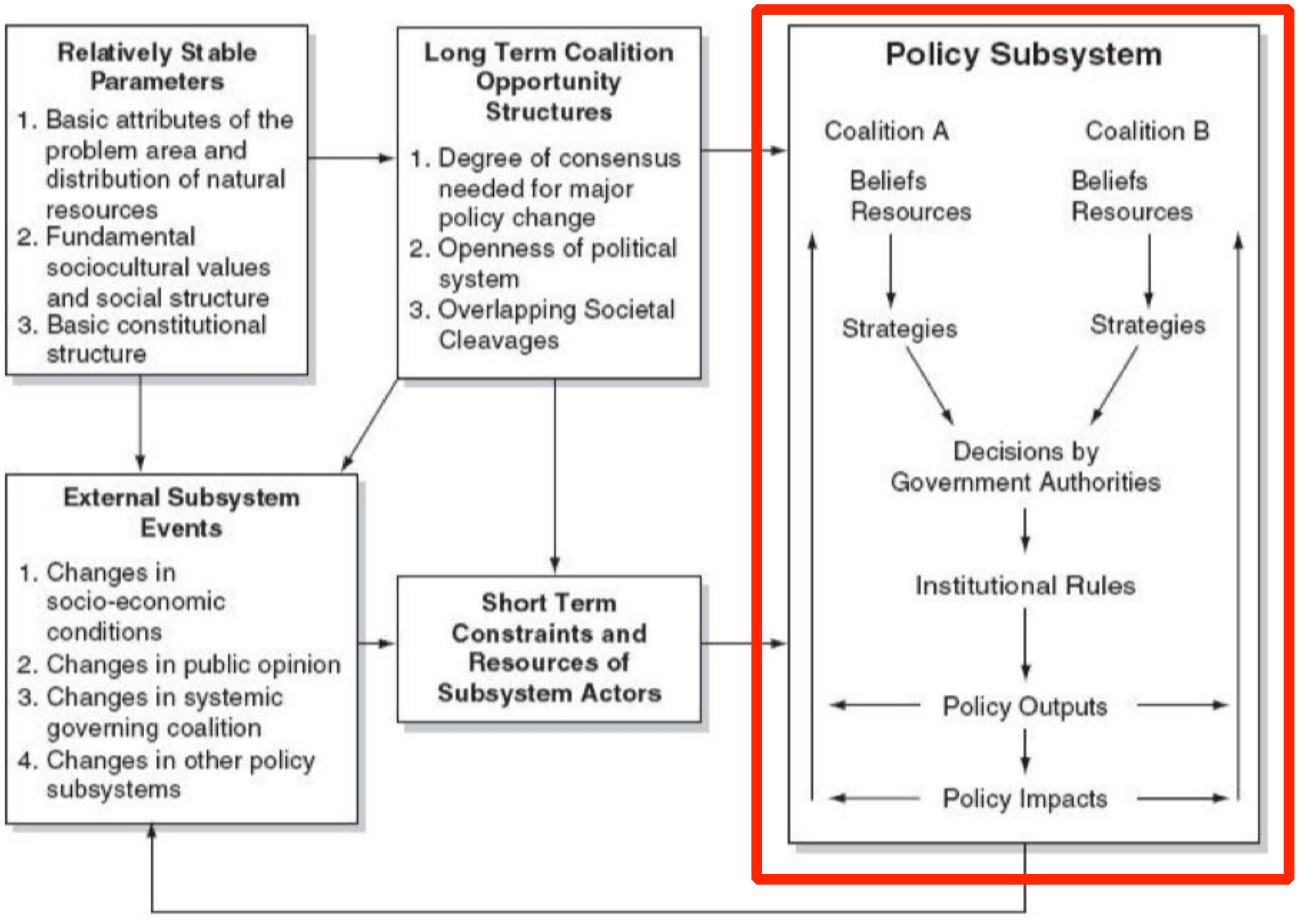
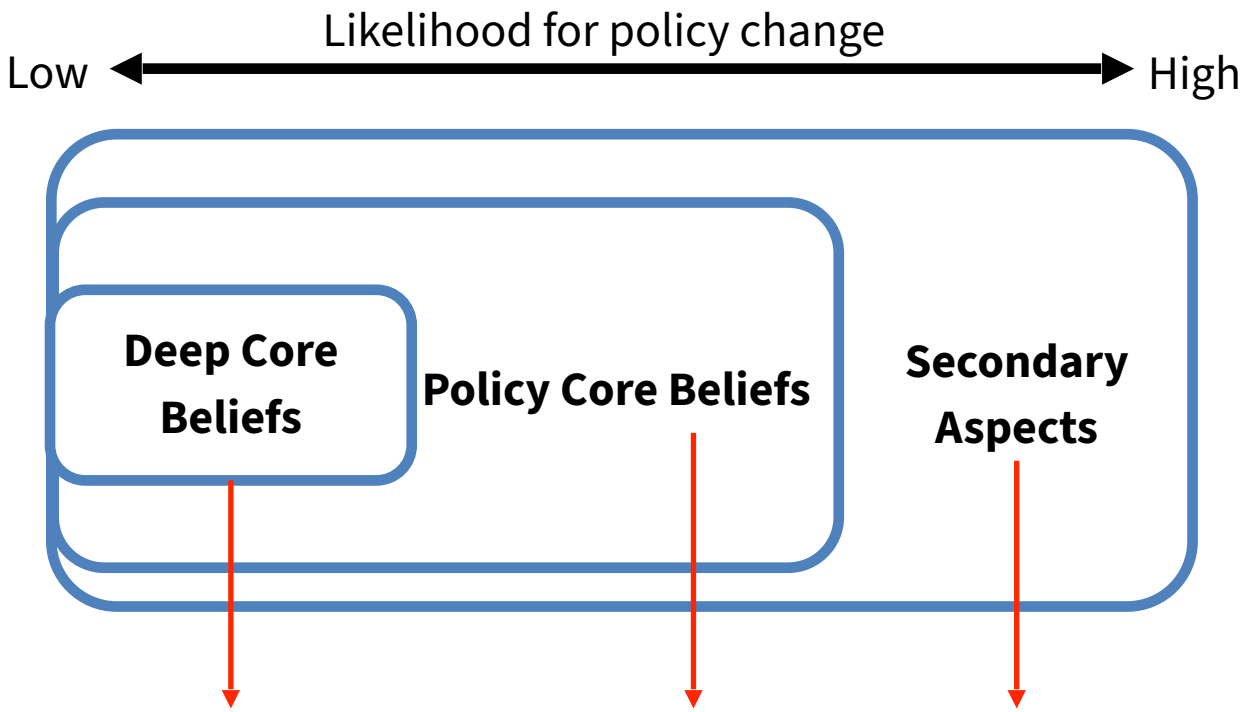


Figure 10.1 The advocacy coalition framework flow diagram
Source: Weible et al. (2016: 6).

- Actors are forming strategic coalitions.
- Coalitions are networks including both formal and informal actors.
- Each coalition seeks to transform its belief systems into public policy outputs.
- Hence, according to the ACF framework:

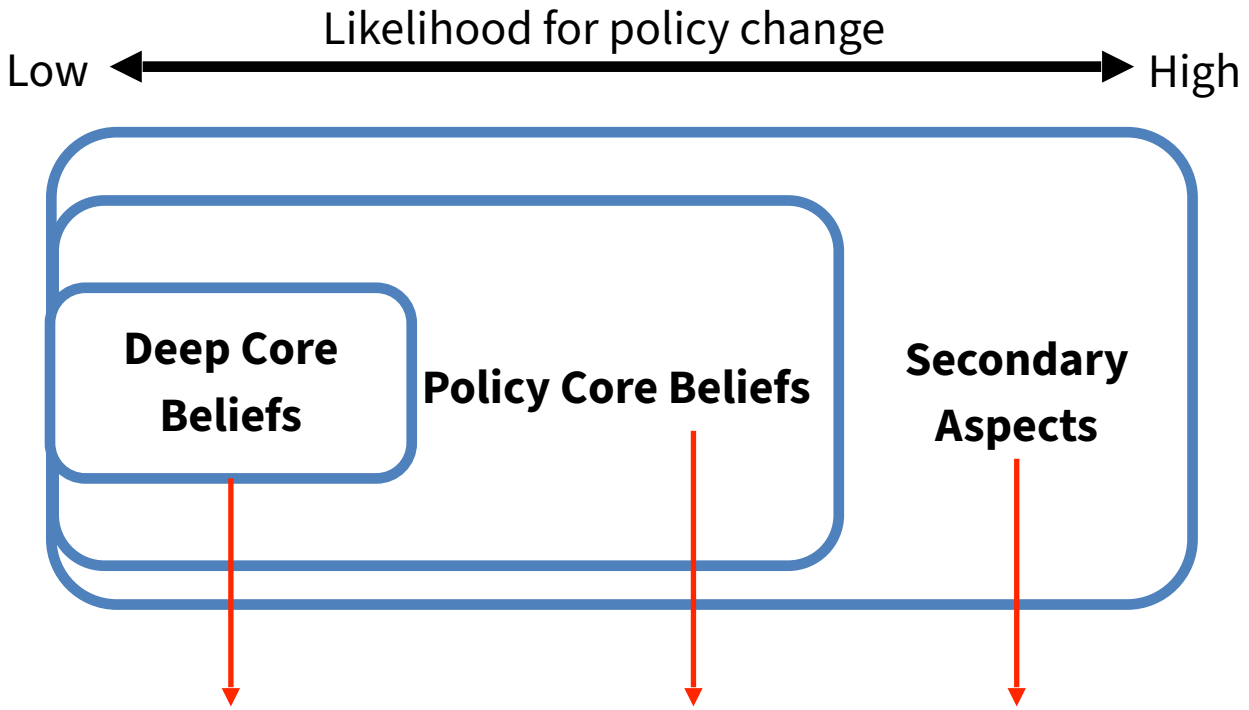
A given public policy is best understood as the translation of (some) belief systems, namely those that have ended up being **successful**.

Three Types of Policy Beliefs



Three Types of Policy Beliefs

And their connection with policy change over time



Policies change if coalitions change in composition or in beliefs!

Major policy change: changing policy core beliefs

Minor policy change: changing secondary aspects

Causes of 'Major' Policy Change

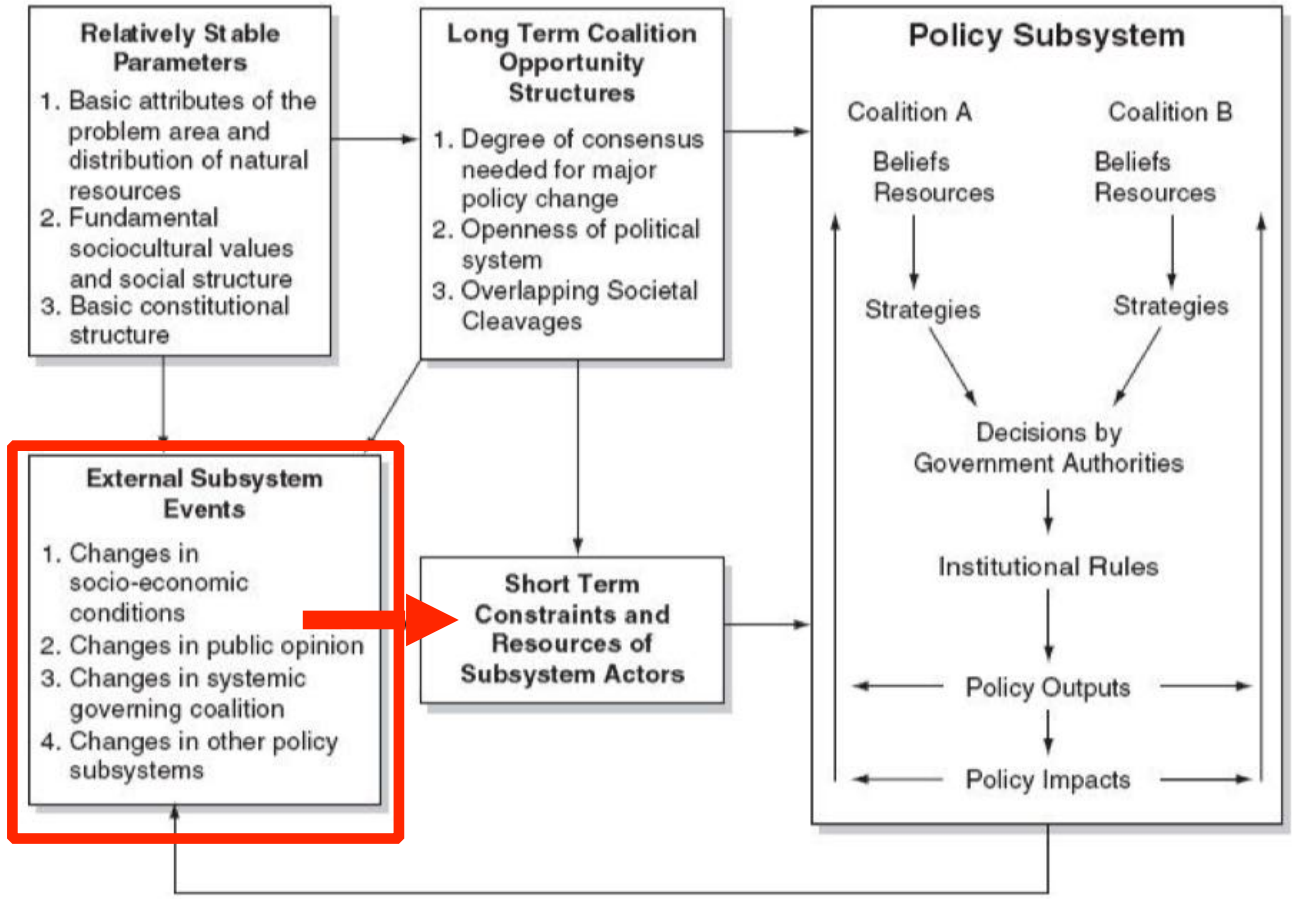


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Source: Weible et al. (2016: 6).

Events that are **external** to the subsystem:

1. Socio-economic change
2. Regime change
3. Disasters
4. Impact of other subsystems

Example: The Impact of the Snowden Revelations on EU's GDPR



Before Snowden:

A roughly even standoff between two +/- equally dense coalition networks.

After Snowden:

Shift towards a clearly dominant, more cohesive pro-GDPR coalition

Laurer, M. and Seidl, T. (2021), Regulating the European Data-Driven Economy: A Case Study on the General Data Protection Regulation. Policy & Internet, 13: 257-277.

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Before Snowden:

A roughly even standoff between two +/- equally dense coalition networks.

After Snowden:

Shift towards a clearly dominant, more cohesive pro-GDPR coalition

Political actors moved away from positions associated with business lobbying, because being seen on the side of (especially US tech) industry became costly once salience rose.

Laurer, M. and Seidl, T. (2021), Regulating the European Data-Driven Economy: A Case Study on the General Data Protection Regulation. Policy & Internet, 13: 257-277.

Causes of ‘Minor’ Policy Change

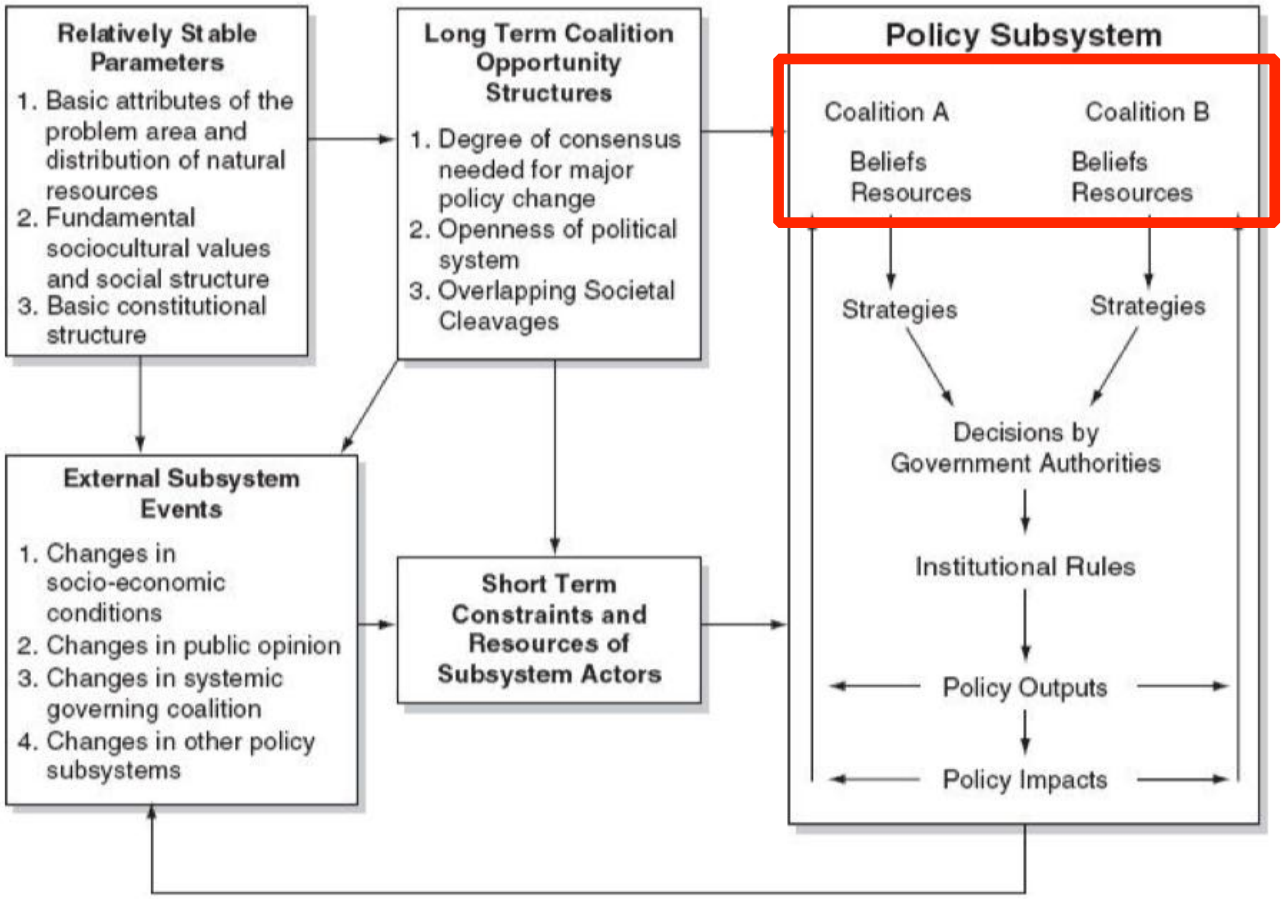


Figure 10.1 The advocacy coalition framework flow diagram
Source: Weible et al. (2016: 6).

Intra-subsystem events. Three main mechanisms:

1. Policy-oriented learning:
   - within the coalition (changing evidence, e.g. on soft drugs, feedback from policy evaluation)
   - across coalitions (role of policy brokers, see e.g. rebound of nuclear energy research). Presupposes intermediate levels of conflict & accepted indicators.
2. Shifts in resources (money, expertise, legal authority, geopolitical centrality)
3. Negotiated agreements & compromises

Why Certain Subsystem Stay in Stalemate for Years?

The ‘Devil Shift’ prediction

- Actors often see their opponents as being more malevolent (‘devilish’) and more powerful than they really are.
- Why?
  - Actors are using heuristics through their belief system to compensate missing information (Tversky & Kahneman 1974).
  - Confirmation bias: actors tend to privilege information that supports their preexisting beliefs (Plous 1993).
  - Loss aversion: actors derive a much greater disutility from losses than they derive utility from gains (Kahneman and Tversky 1992).
- The **Devil Shift** can glue coalitions together, block learning across coalitions, and entrench their beliefs, making policy change improbable over long periods.
- Mixed empirical evidence: appears mainly in highly conflictual, polarised sub-systems.

Subsystems at Different Levels of Government

From Actor Networks to Actor Hierarchies

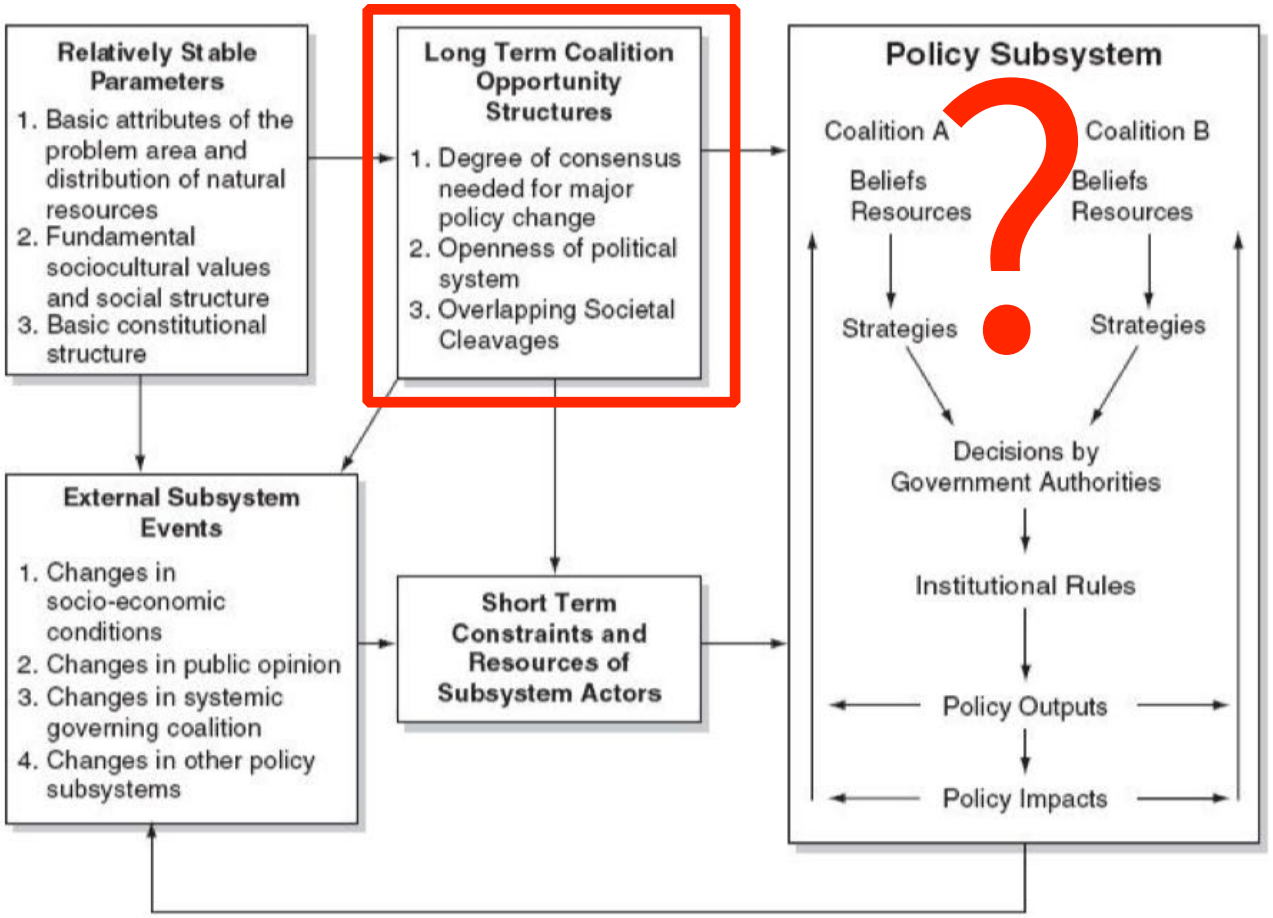


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Source: Weible et al. (2016: 6).

Advocacy Coalition Framework: Who coalesces? Around which beliefs?

But at what level of government? And will the authority of coalition members change when an issue moves between levels?

Multi-Level Governance: authority, responsibility, and resources are shared across multiple tiers of government as well as non-governmental actors

"Venue Shopping": the strategy by which policy actors who lose, or expect to lose, in one decision-making arena move the issue to another arena

Multi-Level Governance (MLG)

- **"Multi-level"**: Tremendous growth of power dispersion across jurisdictions ("tiers," "levels") both upwards and downwards of national states, since WW II.
- **"Governance"**:
  - Descriptive meaning: power is dispersed between formal and informal actors.
  - Normative meaning: governments should be "steering, not rowing!" (remember: this was also a lesson taught by NPM)
- The **EU** as an instructive example:
  - Scaling-up to the supranational level.
  - Decentralising authority within states (see e.g. the "subsidiarity principle" in the Treaty on European Union)

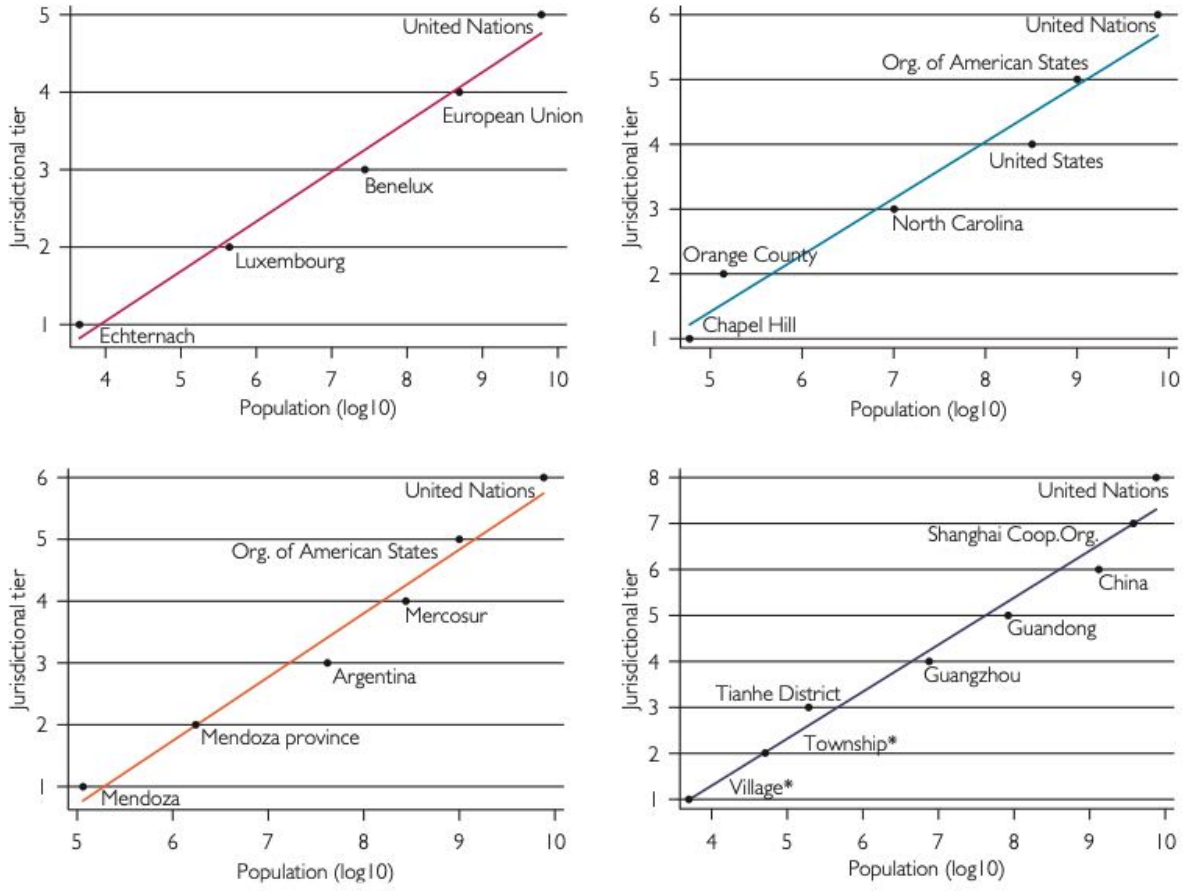
Multi-level governance: describes and prescribes the dispersion of power within and beyond states.

Two Mechanisms Underlying MLG

- **Choice**: governance as an expression of the desire for self-rule.
  - Assumption that the structure of governance should reflect the history and (ethnical, linguistic…) identity of regional communities.
  - May lead to differentiated governance (see e.g. special rights accorded to linguistic minority or rural regions)
- **Necessity**: governance as an instrument for the efficient delivery of public goods.
  - Assumption of optimal spatial scales.
  - "Ladder of Governance": Linear relationship between government levels and (log-scaled) population size.

The “Ladder of Governance”

Linear relationship between government levels and population size



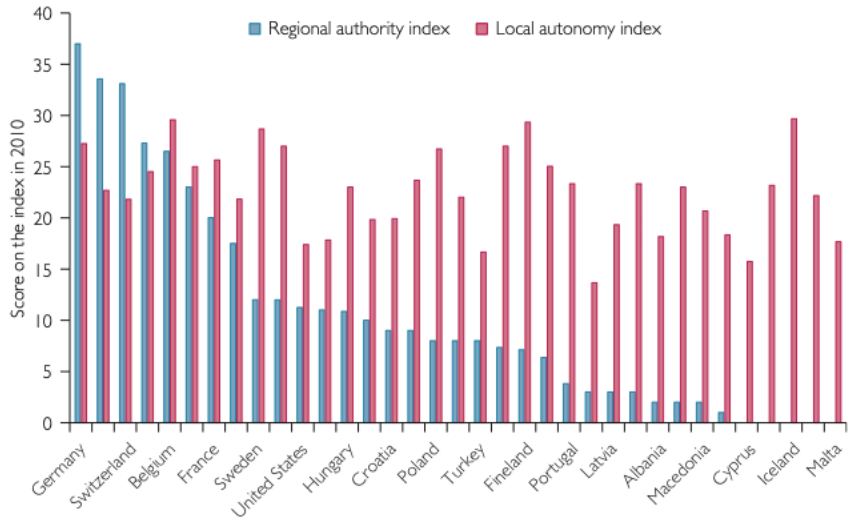
Note: Luxembourg (top left), United States (top right), China (bottom **right**), and Argentina (bottom **left**). Population estimates for 2010; population numbers for village and township in China are averages for the Tianhe District.

- Rational structure of (roughly) equally spaced tiers at exponentially increasing population levels.
- Hence: the larger the population of a state, the greater the benefit of multiple jurisdictions.
- Implication: Structure of government has a functional logic which maximises scale flexibility in policy provision but minimises the number of jurisdictional tiers

Hooghe, L., Marks, G., & Schakel, A. 2023. “Multilevel Governance.” In D. Caramani (ed.). *Comparative Politics*. Oxford UP. p. 196

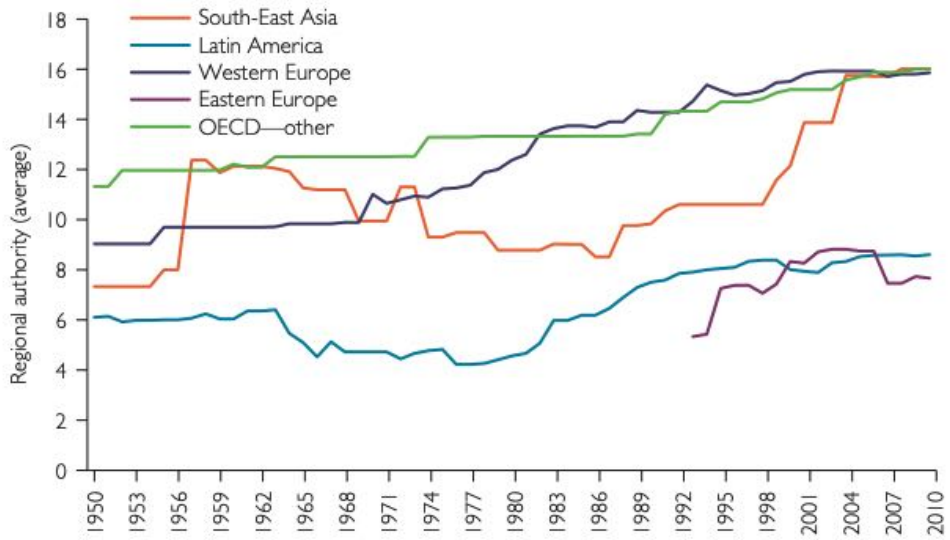
Sub-National Authority Deepening Since 1950

Figure 11.2 Regional and local authority across Europe in 2010



Note: thirty-five countries in Europe rank-ordered from high to low regional authority in 2010. Regional authority is estimated for each regional tier/region on a 1–30 scale, and multiple regional tiers in a country add up to constitute the RAI score (**blue** bars). Local authority is estimated by the LAI, which rates the authority of the lowest level of government on a 0–37 scale (**red** bars).
Sources: Hooghe and Marks (2016*a*); Ladner et al. (2016).

Figure 11.3 Regional authority across world regions (1950–2010)



Note: Average regional authority by world region for eighty-one countries from 1950 **to** 2010 in Southeast Asia, Latin America, Western Europe, OECD-other, and Central and Eastern Europe.
Source: Reproduced with permission from Hooghe et al. (2016*a*).

Hooghe, L., Marks, G., & Schakel, A. 2023. "Multilevel Governance." In D. Caramani (ed.). *Comparative Politics*. Oxford UP. pp. 200-201.

Drivers of MLG

- **Ethno-territorial identity**: The demand for self-rule by territorially concentrated groups pressures central states to decentralise authority. If one region gains self-rule, other regions may demand the same.
- **Democracy**: Whereas autocrats rule by denying authority to others, democratic leaders can retain rule by shifting authority out of their own hands if that wins them support.
- **Interdependence**: As people trade, travel, and migrate across national borders, so national states become too small to tackle large-scale externalities such as regulating trade or climate change and too large to address the cultural and economic effects of mobility on neighbourhoods, towns, and regions.
- **Affluence**: The more affluent a society, the greater the demand for public goods that are best provided closer to the citizen (education, health, infrastructure…)
- **Peace**: Interstate war drives national centralisation; peace allows central governments greater latitude to allocate authority to regional, local, and international jurisdictions.

From: Hooghe, L., Marks, G., & Schakel, A. 2023. “Multilevel Governance.” In D. Caramani (ed.). *Comparative Politics*. Oxford UP. p. 201.

Type I and Type II MLG

How political authority is dispersed away from central states

	General-purpose jurisdictions (type I)	Task-specific jurisdictions (type II)
Design features	combine problems with similar scale in one jurisdiction; territorially nonintersecting; limited number of jurisdictions; limited number of levels	separate nearly decomposable problems in discrete jurisdictions; territorially intersecting; unlimited number of jurisdictions; no limit to number of levels
Biases	intrinsic community; voice; conflict articulation	extrinsic community; exit; conflict avoidance
Examples	London, Catalonia, Flemish Community, United States, China, European Union, African Union, Inca Empire	U.S. school districts, local area agreements, Chesapeake Bay Council, NATO, World Health Organization, Dutch water boards

Liesbet Hooghe & Gary Marks. 2009. "Does Efficiency Shape the Territorial Structure of Government?" *Annual Review of Political Science* 12: p. 234

Challenges to MLG

- **Institutional problems**: there may be tensions between MLG and the polity configuration in nation states. Example: UK, where MLG's power dispersion collides with Westminster's power centralisation!
- **Blurred responsibilities**: which government level is responsible for what?
  - Voters may have a hard time to hold decision-makers accountable.
  - Politicians may have strategic incentives to blur responsibilities (or claim credit for good outcomes).
  - Dispersing power away from the centre may increase corrupt opportunities (see e.g. Argentina, Brazil).
- **Coordination failures**: overlapping competencies may cause inefficiencies and policy failures. Who supplies the resources needed for coordination across levels? See e.g. conflicting/incoherent pandemic rules between national and regional authorities during Covid-19.



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Westminster model	*Multi-level governance*
Centralized state	Disaggregated and fragmented state
Hierarchy and control	Power diffusion and negotiation
Clear lines of accountability	Blurry lines of accountability
Absolute sovereignty	Interdependence, unclear sovereignty
Unitary state	Quasi-federal state
Strong core executive	Segmented executive
Direct government	Delegated governance, 'steering' not 'rowing'

Source: adapted from Bache and Flinders (2004a: 38).

From Paul Cairney. 2020. *Understanding Public Policy*. MacMillan. Chapter 8.

Thank You